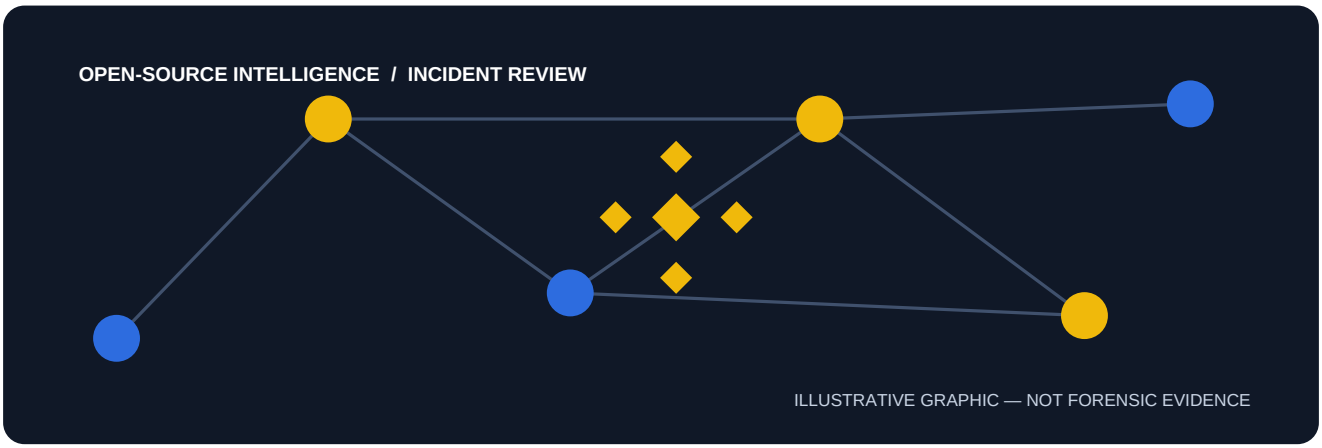


A concise OSINT investigation into the 29 October 2026 compromise, attack path, stolen assets and response.

~US$6.34B reported impact	29 OCT 2026 incident date	TraderTraitor FBI activity label

Prepared by L Ndungu | Research cut-off: 04 November 2026 | Public-source OSINT

Executive summary. Binance disclosed unauthorised transfers from its internet-connected hot wallets on 29 October 2026. Its published account describes a multi-stage intrusion: compromised developer tooling, a fake recruitment process, malware on an employee device, misuse of an internal AI tool, stolen deployment credentials and abuse of a wallet-signing service. The FBI later attributed the activity to North Korea and used the label **TraderTraitor**.

The key lesson is that blockchain security depends on more than private-key protection. Employee devices, developer tools, internal services, deployment tokens and transaction approvals can all become paths to high-value systems.

What is confirmed publicly: Binance's incident date, reported transfers and technical explanation; the FBI's public attribution; and Binance's staged response. The attack sequence below is Binance's account, while attribution is the FBI's assessment.

Incident snapshot

Organisation	Binance cryptocurrency exchange
Incident date	29 October 2026
Reported impact	Approximately US$6.34 billion in digital assets
Main access path	Compromised employee endpoints and internal wallet-signing service
Attribution	FBI: North Korea; activity label: TraderTraitor
Response	Binance reported 98% of affected token assets restored by 31 October; phased withdrawals resumed in November.

1. Attack Timeline and Method

The timeline combines Binance's published technical account with the FBI's later public attribution. Dates are shown as reported; exact internal activity may not all be public.

June 2026

A Wallets DevOps engineer downloaded a modified installer for an AI coding tool. Binance says it detected an anomaly, replaced the device and rotated related credentials, but information about the engineer and colleagues had already been exposed.

September 2026

A second engineer was approached through a job-search platform by someone posing as a project director. Fake video interviews and a convincing social-media profile built trust.

September 2026

The engineer was asked to run a coding assignment on a work computer. Binance says the repository executed malicious setup code and replaced a legitimate pyenv component with a malicious version. It used obfuscation, communicated with attacker-controlled infrastructure and attempted to erase traces.

20 October 2026

The compromised device and an internal AI tool were used to reach two other wallet engineers. The attacker discovered a container-deployment token on one engineer's computer.

29 October 2026

Using stolen credentials, the attacker accessed another engineer's computer, deployed a container and ran a script targeting wallet-signing operations.

29 October 2026

Five Binance hot wallets transferred 233.46 million XRP. Binance also reported transfers of about 970,500 SOL, 44.2 million OP, 18,270 BTC and, later, 2,961.9 ETH.

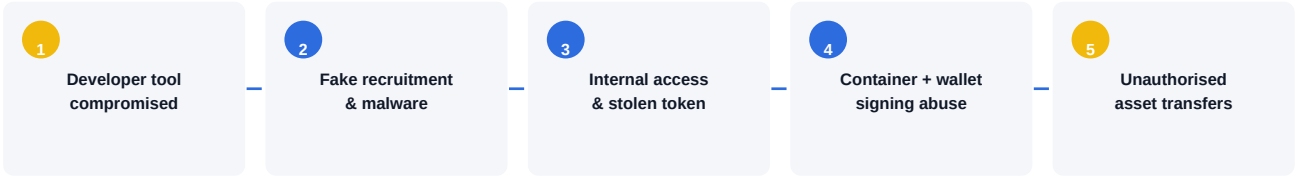
29 October 2026

The attacker abused Ethereum's EIP-7702 authorisation feature to delegate certain execution rights over a hot wallet to an attacker-controlled smart contract. Binance says 50 signing transactions were used to manipulate the account nonce and establish malicious delegations.

30 October 2026

Binance issued a new authorisation from the Binance14 hot wallet to the zero address to remove the EIP-7702 delegation.

Attack chain at a glance

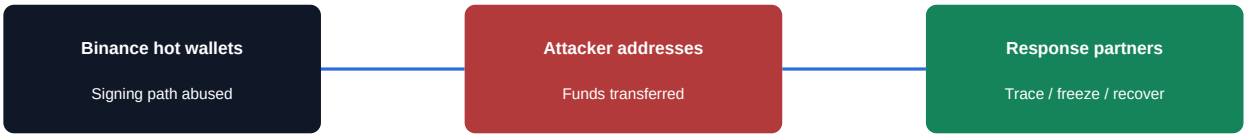


Simplified sequence based on Binance's published account.

Why EIP-7702 matters: the Ethereum feature can let a normal wallet delegate certain execution rights to a smart contract without exposing its private key. Binance says the attacker abused this mechanism to establish malicious permissions. Its multi-party computation (MPC) signing setup made rapid revocation more difficult. This explains why simply pausing withdrawals was not enough to remove permissions already recorded on-chain.

2. Stolen Assets, Response and Attribution

Asset	Amount reported	What Binance said
XRP	233.46 million	Transferred from five hot wallets within minutes.
Solana (SOL)	~970,500	Sent to attacker-controlled addresses.
Optimism (OP)	~44.2 million	Sent to attacker-controlled addresses.
Bitcoin (BTC)	18,270	Sent from a Binance hot wallet to an attacker-controlled address.
Ethereum (ETH)	2,961.9	Final reported unauthorised transfer confirmed later on 29 October.



The FBI said it observed the actors converting stolen assets mainly into Ether and warned of further laundering through decentralised-finance services and instant-swap services. The FBI published Ethereum addresses associated with the activity and asked virtual-asset service providers and infrastructure operators to block related transactions. This report does not claim a complete independent transaction-by-transaction trace.

Binance's response

Binance suspended withdrawals, worked with law enforcement and blockchain partners, and sought to freeze or intercept affected assets. It reported approximately US$2.85 billion frozen or intercepted. Separately, it said 98% of affected token assets had been restored by 31 October and that it held reserves exceeding the amount needed to cover losses. Frozen or intercepted assets are not necessarily the same as funds already restored to customer balances.

On 3 November, Binance announced another phased reopening of withdrawals for additional assets and networks. Deposits remained open while withdrawals were restored progressively after checks. Binance said it would absorb the financial impact rather than pass the losses to users.

Threat actor assessment

The FBI publicly attributed the theft to North Korea and used the activity label **TraderTraitor**. This report uses that exact designation. It does not assume TraderTraitor and every Lazarus Group cluster are interchangeable: threat-actor labels can differ between government agencies and security vendors. Binance's technical account explains the attack path but does not independently identify the operators.

Attribution confidence: **high that the FBI made this public attribution**; this report does not independently prove the operators' identity, location or command structure.

3. Detection Mapping and Security Lessons

Observed behaviour	MITRE ATT&CK; reference	Analyst interpretation
Tampered developer installer	T1195.002 – Compromise Software Supply Chain	Modified installer/package used as an entry route.
Fake job task executed by employee	T1204 – User Execution	Employee persuaded to run malicious code.
Malicious shell activity	T1059.004 – Unix Shell	Shell commands used during the intrusion, according to Binance.
Stolen credentials / deployment token	T1078 – Valid Accounts	Legitimate access was misused to reach additional systems.
Container deployed to run script	T1610 – Deploy Container	Container deployment formed part of the attack path.
Internal AI tool used to pivot	No exact technique assigned	Public detail is insufficient for a precise ATT&CK; technique mapping.

Mappings are analyst interpretations of public reporting, not official incident classifications.

Priority security recommendations

• **Harden developer endpoints:** allow approved tools only; verify package signatures; monitor unexpected binary changes and suspicious setup scripts.

• **Defend against recruitment lures:** verify recruiters independently. Never run unfamiliar coding tests or repositories on a work device; use isolated sandboxes.

• **Lock down internal AI:** enforce least privilege, strong authentication, network boundaries and audit logs for AI tools that can access internal systems.

• **Protect deployment credentials:** use short-lived, scoped tokens; avoid storing production credentials on employee laptops; require approval for production container deployment.

• **Strengthen wallet controls:** apply transaction limits, destination allowlists, independent policy checks and out-of-band approval for unusual transfers.

• **Monitor on-chain permissions:** alert on new EIP-7702 delegations and rehearse emergency revocation procedures.

• **Preserve evidence:** centralise endpoint, identity, AI, container and signing-service logs; protect logs from tampering.

Key findings

1. Social engineering and developer-tool compromise provided paths into employee systems. **2.** The intrusion expanded through internal access and stolen deployment credentials. **3.** Abuse of the signing workflow and on-chain permissions enabled large transfers. **4.** Effective response required both traditional incident containment and blockchain coordination.

4. OSINT Sources, Scope and References

OSINT resources used

Source / resource	Use in this investigation
FBI Cyber Division	Official attribution, TraderTraitor label, public wallet indicators and laundering warning.
Binance security incident report	Primary technical account of the compromise, transfers, EIP-7702 activity and response.
Binance recovery update #6	Withdrawal reopening and recovery status as of 3 November.
Reuters	Independent reporting used to cross-check incident scale and recruitment compromise details.
Associated Press	Independent context on the theft, response and industry reaction.
SANS Internet Storm Center	Technical context referenced in Binance's account concerning the modified developer-tool installer.
MITRE ATT&CK	Framework used to map publicly described behaviours to enterprise tactics and techniques.
Public blockchain indicators	FBI-published Ethereum addresses and reported asset conversions were treated as leads. No complete independent wallet graph was produced.

Scope and limitations

This is a public-source OSINT assessment, not a forensic examination. No Binance systems, employee devices, private communications, internal logs or malware samples were accessed. The detailed attack sequence is attributed to Binance's published account; the North Korean attribution is attributed to the FBI. At the research cut-off, a full independent post-incident forensic report and complete asset-recovery reconciliation were not publicly available. The author did not independently verify every transaction or wallet address.

Reference register

[1] FBI — North Korea Responsible for $6 Billion+ Binance Attack (31 Oct 2026). [Open source]

[2] Binance — Initial Findings and Response Update (updated to 3 Nov 2026). [Open source]

[3] Binance — Recovery Update #6 (3 Nov 2026). [Open source]

[4] Reuters — Binance hackers used fake job interview in $6.3 billion attack (3 Nov 2026). [Open source]

[5] Associated Press — What to know about the $6.3B hack on Binance. [Open source]

[6] SANS Internet Storm Center. [Open source]

[7] MITRE ATT&CK; Enterprise knowledge base. [Open source]

Prepared by L Ndungu | Cybersecurity • OSINT • Threat Intelligence

Portfolio research brief. Diagrams are explanatory illustrations, not screenshots or original forensic evidence. Incident details are attributed to the sources listed .